Item 8. Financial Statements and Supplementary Data

All financial statement schedules have been omitted, since the required information is not applicable or is not present in amounts sufficient to require submission of the schedule, or because the information required is included in the consolidated financial statements and accompanying notes.

Apple Inc.

CONSOLIDATED STATEMENTS OF OPERATIONS

(In millions, except number of shares, which are reflected in thousands, and per-share amounts)

	Years ended		
	September 30, 2023	September 24, 2022	September 25, 2021
Net sales:			
Products	$ 298,085	$ 316,199	$ 297,392
Services	85,200	78,129	68,425
Total net sales	383,285	394,328	365,817
Cost of sales:			
Products	189,282	201,471	192,266
Services	24,855	22,075	20,715
Total cost of sales	214,137	223,546	212,981
Gross margin	169,148	170,782	152,836
Operating expenses:			
Research and development	29,915	26,251	21,914
Selling, general and administrative	24,932	25,094	21,973
Total operating expenses	54,847	51,345	43,887
Operating income	114,301	119,437	108,949
Other income/(expense), net	(565)	(334)	258
Income before provision for income taxes	113,736	119,103	109,207
Provision for income taxes	16,741	19,300	14,527
Net income	$ 96,995	$ 99,803	$ 94,680
Earnings per share:			
Basic	$ 6.16	$ 6.15	$ 5.67
Diluted	$ 6.13	$ 6.11	$ 5.61
Shares used in computing earnings per share:			
Basic	15,744,231	16,215,963	16,701,272
Diluted	15,812,547	16,325,819	16,864,919

See accompanying Notes to Consolidated Financial Statements.

Apple Inc.

CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

(In millions)

	Years ended		
	September 30, 2023	September 24, 2022	September 25, 2021
Net income	$ 96,995	$ 99,803	$ 94,680
Other comprehensive income/(loss):			
Change in foreign currency translation, net of tax	(765)	(1,511)	501
Change in unrealized gains/losses on derivative instruments, net of tax:			
Change in fair value of derivative instruments	323	3,212	32
Adjustment for net (gains)/losses realized and included in net income	(1,717)	(1,074)	1,003
Total change in unrealized gains/losses on derivative instruments	(1,394)	2,138	1,035
Change in unrealized gains/losses on marketable debt securities, net of tax:			
Change in fair value of marketable debt securities	1,563	(12,104)	(694)
Adjustment for net (gains)/losses realized and included in net income	253	205	(273)
Total change in unrealized gains/losses on marketable debt securities	1,816	(11,899)	(967)
Total other comprehensive income/(loss)	(343)	(11,272)	569
Total comprehensive income	$ 96,652	$ 88,531	$ 95,249

See accompanying Notes to Consolidated Financial Statements.

Apple Inc.

CONSOLIDATED BALANCE SHEETS

(In millions, except number of shares, which are reflected in thousands, and par value)

	September 30, 2023	September 24, 2022
ASSETS:		
Current assets:		
Cash and cash equivalents	$ 29,965	$ 23,646
Marketable securities	31,590	24,658
Accounts receivable, net	29,508	28,184
Vendor non-trade receivables	31,477	32,748
Inventories	6,331	4,946
Other current assets	14,695	21,223
Total current assets	143,566	135,405
Non-current assets:		
Marketable securities	100,544	120,805
Property, plant and equipment, net	43,715	42,117
Other non-current assets	64,758	54,428
Total non-current assets	209,017	217,350
Total assets	$ 352,583	$ 352,755
LIABILITIES AND SHAREHOLDERS' EQUITY:		
Current liabilities:		
Accounts payable	$ 62,611	$ 64,115
Other current liabilities	58,829	60,845
Deferred revenue	8,061	7,912
Commercial paper	5,985	9,982
Term debt	9,822	11,128
Total current liabilities	145,308	153,982
Non-current liabilities:		
Term debt	95,281	98,959
Other non-current liabilities	49,848	49,142
Total non-current liabilities	145,129	148,101
Total liabilities	290,437	302,083
Commitments and contingencies		
Shareholders' equity:		
Common stock and additional paid-in capital, $0.00001 par value: 50,400,000 shares authorized; 15,550,061 and 15,943,425 shares issued and outstanding, respectively	73,812	64,849
Accumulated deficit	(214)	(3,068)
Accumulated other comprehensive loss	(11,452)	(11,109)
Total shareholders' equity	62,146	50,672
Total liabilities and shareholders' equity	$ 352,583	$ 352,755

See accompanying Notes to Consolidated Financial Statements.

Apple Inc.

CONSOLIDATED STATEMENTS OF SHAREHOLDERS' EQUITY

(In millions, except per-share amounts)

	Years ended		
	September 30, 2023	September 24, 2022	September 25, 2021
Total shareholders' equity, beginning balances	$ 50,672	$ 63,090	$ 65,339
Common stock and additional paid-in capital:			
Beginning balances	64,849	57,365	50,779
Common stock issued	1,346	1,175	1,105
Common stock withheld related to net share settlement of equity awards	(3,521)	(2,971)	(2,627)
Share-based compensation	11,138	9,280	8,108
Ending balances	73,812	64,849	57,365
Retained earnings/(Accumulated deficit):			
Beginning balances	(3,068)	5,562	14,966
Net income	96,995	99,803	94,680
Dividends and dividend equivalents declared	(14,996)	(14,793)	(14,431)
Common stock withheld related to net share settlement of equity awards	(2,099)	(3,454)	(4,151)
Common stock repurchased	(77,046)	(90,186)	(85,502)
Ending balances	(214)	(3,068)	5,562
Accumulated other comprehensive income/(loss):			
Beginning balances	(11,109)	163	(406)
Other comprehensive income/(loss)	(343)	(11,272)	569
Ending balances	(11,452)	(11,109)	163
Total shareholders' equity, ending balances	$ 62,146	$ 50,672	$ 63,090
Dividends and dividend equivalents declared per share or RSU	$ 0.94	$ 0.90	$ 0.85

See accompanying Notes to Consolidated Financial Statements.

Apple Inc.

CONSOLIDATED STATEMENTS OF CASH FLOWS

(In millions)

	Years ended		
	September 30, 2023	September 24, 2022	September 25, 2021
Cash, cash equivalents and restricted cash, beginning balances	$ 24,977	$ 35,929	$ 39,789
Operating activities:			
Net income	96,995	99,803	94,680
Adjustments to reconcile net income to cash generated by operating activities:			
Depreciation and amortization	11,519	11,104	11,284
Share-based compensation expense	10,833	9,038	7,906
Other	(2,227)	1,006	(4,921)
Changes in operating assets and liabilities:			
Accounts receivable, net	(1,688)	(1,823)	(10,125)
Vendor non-trade receivables	1,271	(7,520)	(3,903)
Inventories	(1,618)	1,484	(2,642)
Other current and non-current assets	(5,684)	(6,499)	(8,042)
Accounts payable	(1,889)	9,448	12,326
Other current and non-current liabilities	3,031	6,110	7,475
Cash generated by operating activities	110,543	122,151	104,038
Investing activities:			
Purchases of marketable securities	(29,513)	(76,923)	(109,558)
Proceeds from maturities of marketable securities	39,686	29,917	59,023
Proceeds from sales of marketable securities	5,828	37,446	47,460
Payments for acquisition of property, plant and equipment	(10,959)	(10,708)	(11,085)
Other	(1,337)	(2,086)	(385)
Cash generated by/(used in) investing activities	3,705	(22,354)	(14,545)
Financing activities:			
Payments for taxes related to net share settlement of equity awards	(5,431)	(6,223)	(6,556)
Payments for dividends and dividend equivalents	(15,025)	(14,841)	(14,467)
Repurchases of common stock	(77,550)	(89,402)	(85,971)
Proceeds from issuance of term debt, net	5,228	5,465	20,393
Repayments of term debt	(11,151)	(9,543)	(8,750)
Proceeds from/(Repayments of) commercial paper, net	(3,978)	3,955	1,022
Other	(581)	(160)	976
Cash used in financing activities	(108,488)	(110,749)	(93,353)
Increase/(Decrease) in cash, cash equivalents and restricted cash	5,760	(10,952)	(3,860)
Cash, cash equivalents and restricted cash, ending balances	$ 30,737	$ 24,977	$ 35,929
Supplemental cash flow disclosure:			
Cash paid for income taxes, net	$ 18,679	$ 19,573	$ 25,385
Cash paid for interest	$ 3,803	$ 2,865	$ 2,687

See accompanying Notes to Consolidated Financial Statements.

Apple Inc.

Notes to Consolidated Financial Statements

Note 1 – Summary of Significant Accounting Policies

Basis of Presentation and Preparation

The consolidated financial statements include the accounts of Apple Inc. and its wholly owned subsidiaries. The preparation of these consolidated financial statements and accompanying notes in conformity with GAAP requires the use of management estimates. Certain prior period amounts in the consolidated financial statements and accompanying notes have been reclassified to conform to the current period's presentation.

The Company's fiscal year is the 52- or 53-week period that ends on the last Saturday of September. An additional week is included in the first fiscal quarter every five or six years to realign the Company's fiscal quarters with calendar quarters, which occurred in the first fiscal quarter of 2023. The Company's fiscal year 2023 spanned 53 weeks, whereas fiscal years 2022 and 2021 spanned 52 weeks each. Unless otherwise stated, references to particular years, quarters, months and periods refer to the Company's fiscal years ended in September and the associated quarters, months and periods of those fiscal years.

Revenue

The Company records revenue net of taxes collected from customers that are remitted to governmental authorities.

Share-Based Compensation

The Company recognizes share-based compensation expense on a straight-line basis for its estimate of equity awards that will ultimately vest.

Cash Equivalents

All highly liquid investments with maturities of three months or less at the date of purchase are treated as cash equivalents.

Marketable Securities

The cost of securities sold is determined using the specific identification method.

Inventories

Inventories are measured using the first-in, first-out method.

Property, Plant and Equipment

Depreciation on property, plant and equipment is recognized on a straight-line basis.

Derivative Instruments

The Company presents derivative assets and liabilities at their gross fair values in the Consolidated Balance Sheets.

Income Taxes

The Company records certain deferred tax assets and liabilities in connection with the minimum tax on certain foreign earnings created by the Act.

Leases

The Company combines and accounts for lease and nonlease components as a single lease component for leases of corporate, data center and retail facilities.

Note 2 – Revenue

The Company recognizes revenue at the amount to which it expects to be entitled when control of the products or services is transferred to its customers. Control is generally transferred when the Company has a present right to payment and title and the significant risks and rewards of ownership of products or services are transferred to its customers. For most of the Company's Products net sales, control transfers when products are shipped. For the Company's Services net sales, control transfers over time as services are delivered. Payment for Products and Services net sales is collected within a short period following transfer of control or commencement of delivery of services, as applicable.

The Company records reductions to Products net sales related to future product returns, price protection and other customer incentive programs based on the Company's expectations and historical experience.

For arrangements with multiple performance obligations, which represent promises within an arrangement that are distinct, the Company allocates revenue to all distinct performance obligations based on their relative stand-alone selling prices ("SSPs"). When available, the Company uses observable prices to determine SSPs. When observable prices are not available, SSPs are established that reflect the Company's best estimates of what the selling prices of the performance obligations would be if they were sold regularly on a stand-alone basis. The Company's process for estimating SSPs without observable prices considers multiple factors that may vary depending upon the unique facts and circumstances related to each performance obligation including, where applicable, prices charged by the Company for similar offerings, market trends in the pricing for similar offerings, product-specific business objectives and the estimated cost to provide the performance obligation.

The Company has identified up to three performance obligations regularly included in arrangements involving the sale of iPhone, Mac, iPad and certain other products. The first performance obligation, which represents the substantial portion of the allocated sales price, is the hardware and bundled software delivered at the time of sale. The second performance obligation is the right to receive certain product-related bundled services, which include iCloud®, Siri® and Maps. The third performance obligation is the right to receive, on a when-and-if-available basis, future unspecified software upgrades relating to the software bundled with each device. The Company allocates revenue and any related discounts to these performance obligations based on their relative SSPs. Because the Company lacks observable prices for the undelivered performance obligations, the allocation of revenue is based on the Company's estimated SSPs. Revenue allocated to the delivered hardware and bundled software is recognized when control has transferred to the customer, which generally occurs when the product is shipped. Revenue allocated to the product-related bundled services and unspecified software upgrade rights is deferred and recognized on a straight-line basis over the estimated period they are expected to be provided.

For certain long-term service arrangements, the Company has performance obligations for services it has not yet delivered. For these arrangements, the Company does not have a right to bill for the undelivered services. The Company has determined that any unbilled consideration relates entirely to the value of the undelivered services. Accordingly, the Company has not recognized revenue, and does not disclose amounts, related to these undelivered services.

For the sale of third-party products where the Company obtains control of the product before transferring it to the customer, the Company recognizes revenue based on the gross amount billed to customers. The Company considers multiple factors when determining whether it obtains control of third-party products, including evaluating if it can establish the price of the product, retains inventory risk for tangible products or has the responsibility for ensuring acceptability of the product. For third-party applications sold through the App Store, the Company does not obtain control of the product before transferring it to the customer. Therefore, the Company accounts for all third-party application–related sales on a net basis by recognizing in Services net sales only the commission it retains.

Net sales disaggregated by significant products and services for 2023, 2022 and 2021 were as follows (in millions):

	2023	2022	2021
iPhone (1)	$ 200,583	$ 205,489	$ 191,973
Mac (1)	29,357	40,177	35,190
iPad (1)	28,300	29,292	31,862
Wearables, Home and Accessories (1)	39,845	41,241	38,367
Services (2)	85,200	78,129	68,425
Total net sales	$ 383,285	$ 394,328	$ 365,817

(1) Products net sales include amortization of the deferred value of unspecified software upgrade rights, which are bundled in the sales price of the respective product.

(2) Services net sales include amortization of the deferred value of services bundled in the sales price of certain products.

Total net sales include $8.2 billion of revenue recognized in 2023 that was included in deferred revenue as of September 24, 2022, $7.5 billion of revenue recognized in 2022 that was included in deferred revenue as of September 25, 2021, and $6.7 billion of revenue recognized in 2021 that was included in deferred revenue as of September 26, 2020.

The Company's proportion of net sales by disaggregated revenue source was generally consistent for each reportable segment in Note 13, "Segment Information and Geographic Data" for 2023, 2022 and 2021, except in Greater China, where iPhone revenue represented a moderately higher proportion of net sales.

As of September 30, 2023 and September 24, 2022, the Company had total deferred revenue of $12.1 billion and $12.4 billion, respectively. As of September 30, 2023, the Company expects 67% of total deferred revenue to be realized in less than a year, 25% within one-to-two years, 7% within two-to-three years and 1% in greater than three years.

Note 3 – Earnings Per Share

The following table shows the computation of basic and diluted earnings per share for 2023, 2022 and 2021 (net income in millions and shares in thousands):

	2023	2022	2021
Numerator:			
Net income	$ 96,995	$ 99,803	$ 94,680
Denominator:			
Weighted-average basic shares outstanding	15,744,231	16,215,963	16,701,272
Effect of dilutive share-based awards	68,316	109,856	163,647
Weighted-average diluted shares	15,812,547	16,325,819	16,864,919
Basic earnings per share	$ 6.16	$ 6.15	$ 5.67
Diluted earnings per share	$ 6.13	$ 6.11	$ 5.61

Approximately 24 million restricted stock units ("RSUs") were excluded from the computation of diluted earnings per share for 2023 because their effect would have been antidilutive.

Note 4 – Financial Instruments

Cash, Cash Equivalents and Marketable Securities

The following tables show the Company's cash, cash equivalents and marketable securities by significant investment category as of September 30, 2023 and September 24, 2022 (in millions):

	2023						
	Adjusted Cost	Unrealized Gains	Unrealized Losses	Fair Value	Cash and Cash Equivalents	Current Marketable Securities	Non-Current Marketable Securities
Cash	$ 28,359	$ —	$ —	$ 28,359	$ 28,359	$ —	$ —
Level 1:							
Money market funds	481	—	—	481	481	—	—
Mutual funds and equity securities	442	12	(26)	428	—	428	—
Subtotal	923	12	(26)	909	481	428	—
Level 2 [1]:							
U.S. Treasury securities	19,406	—	(1,292)	18,114	35	5,468	12,611
U.S. agency securities	5,736	—	(600)	5,136	36	271	4,829
Non-U.S. government securities	17,533	6	(1,048)	16,491	—	11,332	5,159
Certificates of deposit and time deposits	1,354	—	—	1,354	1,034	320	—
Commercial paper	608	—	—	608	—	608	—
Corporate debt securities	76,840	6	(5,956)	70,890	20	12,627	58,243
Municipal securities	628	—	(26)	602	—	192	410
Mortgage- and asset-backed securities	22,365	6	(2,735)	19,636	—	344	19,292
Subtotal	144,470	18	(11,657)	132,831	1,125	31,162	100,544
Total [2]	$ 173,752	$ 30	$ (11,683)	$ 162,099	$ 29,965	$ 31,590	$ 100,544

	2022						
	Adjusted Cost	**Unrealized Gains**	**Unrealized Losses**	**Fair Value**	**Cash and Cash Equivalents**	**Current Marketable Securities**	**Non-Current Marketable Securities**
Cash	$ 18,546	$ —	$ —	$ 18,546	$ 18,546	$ —	$ —
Level 1:							
Money market funds	2,929	—	—	2,929	2,929	—	—
Mutual funds	274	—	(47)	227	—	227	—
Subtotal	3,203	—	(47)	3,156	2,929	227	—
Level 2 [1]:							
U.S. Treasury securities	25,134	—	(1,725)	23,409	338	5,091	17,980
U.S. agency securities	5,823	—	(655)	5,168	—	240	4,928
Non-U.S. government securities	16,948	2	(1,201)	15,749	—	8,806	6,943
Certificates of deposit and time deposits	2,067	—	—	2,067	1,805	262	—
Commercial paper	718	—	—	718	28	690	—
Corporate debt securities	87,148	9	(7,707)	79,450	—	9,023	70,427
Municipal securities	921	—	(35)	886	—	266	620
Mortgage- and asset-backed securities	22,553	—	(2,593)	19,960	—	53	19,907
Subtotal	161,312	11	(13,916)	147,407	2,171	24,431	120,805
Total [2]	$ 183,061	$ 11	$ (13,963)	$ 169,109	$ 23,646	$ 24,658	$ 120,805

(1) The valuation techniques used to measure the fair values of the Company's Level 2 financial instruments, which generally have counterparties with high credit ratings, are based on quoted market prices or model-driven valuations using significant inputs derived from or corroborated by observable market data.

(2) As of September 30, 2023 and September 24, 2022, total marketable securities included $13.8 billion and $12.7 billion, respectively, that were restricted from general use, related to the State Aid Decision (refer to Note 7, “Income Taxes”) and other agreements.

The following table shows the fair value of the Company's non-current marketable debt securities, by contractual maturity, as of September 30, 2023 (in millions):

Due after 1 year through 5 years	$	74,427
Due after 5 years through 10 years		9,964
Due after 10 years		16,153
Total fair value	$	100,544

The Company's investments in marketable debt securities have been classified and accounted for as available-for-sale. The Company classifies marketable debt securities as either current or non-current based solely on each instrument's underlying contractual maturity date.

Derivative Instruments and Hedging

The Company may use derivative instruments to partially offset its business exposure to foreign exchange and interest rate risk. However, the Company may choose not to hedge certain exposures for a variety of reasons including accounting considerations or the prohibitive economic cost of hedging particular exposures. There can be no assurance the hedges will offset more than a portion of the financial impact resulting from movements in foreign exchange or interest rates.

The Company classifies cash flows related to derivative instruments in the same section of the Consolidated Statements of Cash Flows as the items being hedged, which are generally classified as operating activities.

Foreign Exchange Rate Risk

To protect gross margins from fluctuations in foreign exchange rates, the Company may use forwards, options or other instruments, and may designate these instruments as cash flow hedges. The Company generally hedges portions of its forecasted foreign currency exposure associated with revenue and inventory purchases, typically for up to 12 months.

To protect the Company's foreign currency–denominated term debt or marketable securities from fluctuations in foreign exchange rates, the Company may use forwards, cross-currency swaps or other instruments. The Company designates these instruments as either cash flow or fair value hedges. As of September 30, 2023, the maximum length of time over which the Company is hedging its exposure to the variability in future cash flows for term debt–related foreign currency transactions is 19 years.

The Company may also use derivative instruments that are not designated as accounting hedges to protect gross margins from certain fluctuations in foreign exchange rates, as well as to offset a portion of the foreign currency gains and losses generated by the remeasurement of certain assets and liabilities denominated in non-functional currencies.

Interest Rate Risk

To protect the Company's term debt or marketable securities from fluctuations in interest rates, the Company may use interest rate swaps, options or other instruments. The Company designates these instruments as either cash flow or fair value hedges.

The notional amounts of the Company's outstanding derivative instruments as of September 30, 2023 and September 24, 2022 were as follows (in millions):

	2023	2022
Derivative instruments designated as accounting hedges:		
Foreign exchange contracts	$ 74,730	$ 102,670
Interest rate contracts	$ 19,375	$ 20,125
Derivative instruments not designated as accounting hedges:		
Foreign exchange contracts	$ 104,777	$ 185,381

The gross fair values of the Company's derivative assets and liabilities as of September 24, 2022 were as follows (in millions):

	2022		
	Fair Value of Derivatives Designated as Accounting Hedges	Fair Value of Derivatives Not Designated as Accounting Hedges	Total Fair Value
Derivative assets [1]:			
Foreign exchange contracts	$ 4,317	$ 2,819	$ 7,136
Derivative liabilities [2]:			
Foreign exchange contracts	$ 2,205	$ 2,547	$ 4,752
Interest rate contracts	$ 1,367	$ —	$ 1,367

(1) Derivative assets are measured using Level 2 fair value inputs and are included in other current assets and other non-current assets in the Consolidated Balance Sheet.

(2) Derivative liabilities are measured using Level 2 fair value inputs and are included in other current liabilities and other non-current liabilities in the Consolidated Balance Sheet.

The derivative assets above represent the Company's gross credit exposure if all counterparties failed to perform. To mitigate credit risk, the Company generally uses collateral security arrangements that provide for collateral to be received or posted when the net fair values of certain derivatives fluctuate from contractually established thresholds. To further limit credit risk, the Company generally uses master netting arrangements with the respective counterparties to the Company's derivative contracts, under which the Company is allowed to settle transactions with a single net amount payable by one party to the other. As of September 24, 2022, the potential effects of these rights of set-off associated with the Company's derivative contracts, including the effects of collateral, would be a reduction to both derivative assets and derivative liabilities of $7.8 billion, resulting in a net derivative asset of $412 million.

The carrying amounts of the Company's hedged items in fair value hedges as of September 30, 2023 and September 24, 2022 were as follows (in millions):

	2023	2022
Hedged assets/(liabilities):		
Current and non-current marketable securities	$ 14,433	$ 13,378
Current and non-current term debt	$ (18,247)	$ (18,739)

Accounts Receivable

Trade Receivables

As of September 24, 2022, the Company had one customer that represented 10% or more of total trade receivables, which accounted for 10%. The Company's third-party cellular network carriers accounted for 41% and 44% of total trade receivables as of September 30, 2023 and September 24, 2022, respectively. The Company requires third-party credit support or collateral from certain customers to limit credit risk.

Vendor Non-Trade Receivables

The Company has non-trade receivables from certain of its manufacturing vendors resulting from the sale of components to these vendors who manufacture subassemblies or assemble final products for the Company. The Company purchases these components directly from suppliers. The Company does not reflect the sale of these components in products net sales. Rather, the Company recognizes any gain on these sales as a reduction of products cost of sales when the related final products are sold by the Company. As of September 30, 2023, the Company had two vendors that individually represented 10% or more of total vendor non-trade receivables, which accounted for 48% and 23%. As of September 24, 2022, the Company had two vendors that individually represented 10% or more of total vendor non-trade receivables, which accounted for 54% and 13%.

Note 5 – Property, Plant and Equipment

The following table shows the Company's gross property, plant and equipment by major asset class and accumulated depreciation as of September 30, 2023 and September 24, 2022 (in millions):

	2023	2022
Land and buildings	$ 23,446	$ 22,126
Machinery, equipment and internal-use software	78,314	81,060
Leasehold improvements	12,839	11,271
Gross property, plant and equipment	114,599	114,457
Accumulated depreciation	(70,884)	(72,340)
Total property, plant and equipment, net	$ 43,715	$ 42,117

Depreciation expense on property, plant and equipment was $8.5 billion, $8.7 billion and $9.5 billion during 2023, 2022 and 2021, respectively.

Note 6 – Consolidated Financial Statement Details

The following tables show the Company's consolidated financial statement details as of September 30, 2023 and September 24, 2022 (in millions):

Other Non-Current Assets

	2023	2022
Deferred tax assets	$ 17,852	$ 15,375
Other non-current assets	46,906	39,053
Total other non-current assets	$ 64,758	$ 54,428

Other Current Liabilities

	2023	2022
Income taxes payable	$ 8,819	$ 6,552
Other current liabilities	50,010	54,293
Total other current liabilities	$ 58,829	$ 60,845

Other Non-Current Liabilities

	2023	2022
Long-term taxes payable	$ 15,457	$ 16,657
Other non-current liabilities	34,391	32,485
Total other non-current liabilities	$ 49,848	$ 49,142

Other Income/(Expense), Net

The following table shows the detail of other income/(expense), net for 2023, 2022 and 2021 (in millions):

	2023	2022	2021
Interest and dividend income	$ 3,750	$ 2,825	$ 2,843
Interest expense	(3,933)	(2,931)	(2,645)
Other income/(expense), net	(382)	(228)	60
Total other income/(expense), net	$ (565)	$ (334)	$ 258

Note 7 – Income Taxes

Provision for Income Taxes and Effective Tax Rate

The provision for income taxes for 2023, 2022 and 2021, consisted of the following (in millions):

	2023	2022	2021
Federal:			
Current	$ 9,445	$ 7,890	$ 8,257
Deferred	(3,644)	(2,265)	(7,176)
Total	5,801	5,625	1,081
State:			
Current	1,570	1,519	1,620
Deferred	(49)	84	(338)
Total	1,521	1,603	1,282
Foreign:			
Current	8,750	8,996	9,424
Deferred	669	3,076	2,740
Total	9,419	12,072	12,164
Provision for income taxes	$ 16,741	$ 19,300	$ 14,527

The foreign provision for income taxes is based on foreign pretax earnings of $72.9 billion, $71.3 billion and $68.7 billion in 2023, 2022 and 2021, respectively.

A reconciliation of the provision for income taxes to the amount computed by applying the statutory federal income tax rate (21% in 2023, 2022 and 2021) to income before provision for income taxes for 2023, 2022 and 2021, is as follows (dollars in millions):

	2023	2022	2021
Computed expected tax	$ 23,885	$ 25,012	$ 22,933
State taxes, net of federal effect	1,124	1,518	1,151
Earnings of foreign subsidiaries	(5,744)	(4,366)	(4,715)
Research and development credit, net	(1,212)	(1,153)	(1,033)
Excess tax benefits from equity awards	(1,120)	(1,871)	(2,137)
Foreign-derived intangible income deduction	—	(296)	(1,372)
Other	(192)	456	(300)
Provision for income taxes	$ 16,741	$ 19,300	$ 14,527
Effective tax rate	14.7 %	16.2 %	13.3 %

Deferred Tax Assets and Liabilities

As of September 30, 2023 and September 24, 2022, the significant components of the Company's deferred tax assets and liabilities were (in millions):

	2023	2022
Deferred tax assets:		
Tax credit carryforwards	$ 8,302	$ 6,962
Accrued liabilities and other reserves	6,365	6,515
Capitalized research and development	6,294	1,267
Deferred revenue	4,571	5,742
Unrealized losses	2,447	2,913
Lease liabilities	2,421	2,400
Other	2,343	3,407
Total deferred tax assets	32,743	29,206
Less: Valuation allowance	(8,374)	(7,530)
Total deferred tax assets, net	24,369	21,676
Deferred tax liabilities:		
Right-of-use assets	2,179	2,163
Depreciation	1,998	1,582
Minimum tax on foreign earnings	1,940	1,983
Unrealized gains	511	942
Other	490	469
Total deferred tax liabilities	7,118	7,139
Net deferred tax assets	$ 17,251	$ 14,537

As of September 30, 2023, the Company had $5.2 billion in foreign tax credit carryforwards in Ireland and $3.0 billion in California R&D credit carryforwards, both of which can be carried forward indefinitely. A valuation allowance has been recorded for the credit carryforwards and a portion of other temporary differences.

Uncertain Tax Positions

As of September 30, 2023, the total amount of gross unrecognized tax benefits was $19.5 billion, of which $9.5 billion, if recognized, would impact the Company's effective tax rate. As of September 24, 2022, the total amount of gross unrecognized tax benefits was $16.8 billion, of which $8.0 billion, if recognized, would have impacted the Company's effective tax rate.

The aggregate change in the balance of gross unrecognized tax benefits, which excludes interest and penalties, for 2023, 2022 and 2021, is as follows (in millions):

	2023	2022	2021
Beginning balances	$ 16,758	$ 15,477	$ 16,475
Increases related to tax positions taken during a prior year	2,044	2,284	816
Decreases related to tax positions taken during a prior year	(1,463)	(1,982)	(1,402)
Increases related to tax positions taken during the current year	2,628	1,936	1,607
Decreases related to settlements with taxing authorities	(19)	(28)	(1,838)
Decreases related to expiration of the statute of limitations	(494)	(929)	(181)
Ending balances	$ 19,454	$ 16,758	$ 15,477

The Company is subject to taxation and files income tax returns in the U.S. federal jurisdiction and many state and foreign jurisdictions. Tax years after 2017 for the U.S. federal jurisdiction, and after 2014 in certain major foreign jurisdictions, remain subject to examination. Although the timing of resolution or closure of examinations is not certain, the Company believes it is reasonably possible that its gross unrecognized tax benefits could decrease in the next 12 months by as much as $4.5 billion.

European Commission State Aid Decision

On August 30, 2016, the European Commission announced its decision that Ireland granted state aid to the Company by providing tax opinions in 1991 and 2007 concerning the tax allocation of profits of the Irish branches of two subsidiaries of the Company (the "State Aid Decision"). The State Aid Decision ordered Ireland to calculate and recover additional taxes from the Company for the period June 2003 through December 2014. Irish legislative changes, effective as of January 2015, eliminated the application of the tax opinions from that date forward. The recovery amount was calculated to be €13.1 billion, plus interest of €1.2 billion. The Company and Ireland appealed the State Aid Decision to the General Court of the Court of Justice of the European Union (the "General Court"). On July 15, 2020, the General Court annulled the State Aid Decision. On September 25, 2020, the European Commission appealed the General Court's decision to the European Court of Justice (the "ECJ") and a hearing was held on May 23, 2023. A decision from the ECJ is expected in calendar year 2024. The Company believes it would be eligible to claim a U.S. foreign tax credit for a portion of any incremental Irish corporate income taxes potentially due related to the State Aid Decision.

On an annual basis, the Company may request approval from the Irish Minister for Finance to reduce the recovery amount for certain taxes paid to other countries. As of September 30, 2023, the adjusted recovery amount was €12.7 billion, excluding interest. The adjusted recovery amount plus interest is funded into escrow, where it will remain restricted from general use pending the conclusion of all legal proceedings. Refer to the Cash, Cash Equivalents and Marketable Securities section of Note 4, "Financial Instruments" for more information.

Note 8 – Leases

The Company has lease arrangements for certain equipment and facilities, including corporate, data center, manufacturing and retail space. These leases typically have original terms not exceeding 10 years and generally contain multiyear renewal options, some of which are reasonably certain of exercise.

Payments under the Company's lease arrangements may be fixed or variable, and variable lease payments are primarily based on purchases of output of the underlying leased assets. Lease costs associated with fixed payments on the Company's operating leases were $2.0 billion, $1.9 billion and $1.7 billion for 2023, 2022 and 2021, respectively. Lease costs associated with variable payments on the Company's leases were $13.9 billion, $14.9 billion and $12.9 billion for 2023, 2022 and 2021, respectively.

The Company made $1.9 billion, $1.8 billion and $1.4 billion of fixed cash payments related to operating leases in 2023, 2022 and 2021, respectively. Noncash activities involving right-of-use ("ROU") assets obtained in exchange for lease liabilities were $2.1 billion, $2.8 billion and $3.3 billion for 2023, 2022 and 2021, respectively.

The following table shows ROU assets and lease liabilities, and the associated financial statement line items, as of September 30, 2023 and September 24, 2022 (in millions):

Lease-Related Assets and Liabilities	Financial Statement Line Items	2023	2022
Right-of-use assets:			
Operating leases	Other non-current assets	$ 10,661	$ 10,417
Finance leases	Property, plant and equipment, net	1,015	952
Total right-of-use assets		$ 11,676	$ 11,369
Lease liabilities:			
Operating leases	Other current liabilities	$ 1,410	$ 1,534
	Other non-current liabilities	10,408	9,936
Finance leases	Other current liabilities	165	129
	Other non-current liabilities	859	812
Total lease liabilities		$ 12,842	$ 12,411

Lease liability maturities as of September 30, 2023, are as follows (in millions):

	Operating Leases	Finance Leases	Total
2024	$ 1,719	$ 196	$ 1,915
2025	1,875	151	2,026
2026	1,732	120	1,852
2027	1,351	52	1,403
2028	1,181	34	1,215
Thereafter	5,983	872	6,855
Total undiscounted liabilities	13,841	1,425	15,266
Less: Imputed interest	(2,023)	(401)	(2,424)
Total lease liabilities	$ 11,818	$ 1,024	$ 12,842

The weighted-average remaining lease term related to the Company's lease liabilities as of September 30, 2023 and September 24, 2022 was 10.6 years and 10.1 years, respectively. The discount rate related to the Company's lease liabilities as of September 30, 2023 and September 24, 2022 was 3.0% and 2.3%, respectively. The discount rates related to the Company's lease liabilities are generally based on estimates of the Company's incremental borrowing rate, as the discount rates implicit in the Company's leases cannot be readily determined.

As of September 30, 2023, the Company had $544 million of future payments under additional leases, primarily for corporate facilities and retail space, that had not yet commenced. These leases will commence between 2024 and 2026, with lease terms ranging from 1 year to 21 years.

Note 9 – Debt

Commercial Paper

The Company issues unsecured short-term promissory notes pursuant to a commercial paper program. The Company uses net proceeds from the commercial paper program for general corporate purposes, including dividends and share repurchases. As of September 30, 2023 and September 24, 2022, the Company had $6.0 billion and $10.0 billion of commercial paper outstanding, respectively, with maturities generally less than nine months. The weighted-average interest rate of the Company's commercial paper was 5.28% and 2.31% as of September 30, 2023 and September 24, 2022, respectively. The following table provides a summary of cash flows associated with the issuance and maturities of commercial paper for 2023, 2022 and 2021 (in millions):

	2023	2022	2021
Maturities 90 days or less:			
Proceeds from/(Repayments of) commercial paper, net	$ (1,333)	$ 5,264	$ (357)
Maturities greater than 90 days:			
Proceeds from commercial paper	—	5,948	7,946
Repayments of commercial paper	(2,645)	(7,257)	(6,567)
Proceeds from/(Repayments of) commercial paper, net	(2,645)	(1,309)	1,379
Total proceeds from/(repayments of) commercial paper, net	$ (3,978)	$ 3,955	$ 1,022

Term Debt

The Company has outstanding Notes, which are senior unsecured obligations with interest payable in arrears. The following table provides a summary of the Company's term debt as of September 30, 2023 and September 24, 2022:

		2023		2022	
	Maturities (calendar year)	**Amount** (in millions)	**Effective Interest Rate**	**Amount** (in millions)	**Effective Interest Rate**
2013 – 2022 debt issuances:					
Fixed-rate 0.000% – 4.650% notes	2024 – 2062	$ 101,322	0.03% – 6.72%	$ 111,824	0.03% – 4.78%
Third quarter 2023 debt issuance:					
Fixed-rate 4.000% – 4.850% notes	2026 – 2053	5,250	4.04% – 4.88%	—	
Total term debt principal		106,572		111,824	
Unamortized premium/(discount) and issuance costs, net		(356)		(374)	
Hedge accounting fair value adjustments		(1,113)		(1,363)	
Total term debt		105,103		110,087	
Less: Current portion of term debt		(9,822)		(11,128)	
Total non-current portion of term debt		$ 95,281		$ 98,959	

To manage interest rate risk on certain of its U.S. dollar–denominated fixed-rate notes, the Company uses interest rate swaps to effectively convert the fixed interest rates to floating interest rates on a portion of these notes. Additionally, to manage foreign exchange rate risk on certain of its foreign currency–denominated notes, the Company uses cross-currency swaps to effectively convert these notes to U.S. dollar–denominated notes.

The effective interest rates for the Notes include the interest on the Notes, amortization of the discount or premium and, if applicable, adjustments related to hedging. The Company recognized $3.7 billion, $2.8 billion and $2.6 billion of interest expense on its term debt for 2023, 2022 and 2021, respectively.

The future principal payments for the Company's Notes as of September 30, 2023, are as follows (in millions):

2024	$ 9,943
2025	10,775
2026	12,265
2027	9,786
2028	7,800
Thereafter	56,003
Total term debt principal	$ 106,572

As of September 30, 2023 and September 24, 2022, the fair value of the Company's Notes, based on Level 2 inputs, was $90.8 billion and $98.8 billion, respectively.

Note 10 – Shareholders' Equity

Share Repurchase Program

During 2023, the Company repurchased 471 million shares of its common stock for $76.6 billion, excluding excise tax due under the Inflation Reduction Act of 2022. The Company's share repurchase programs do not obligate the Company to acquire a minimum amount of shares. Under the programs, shares may be repurchased in privately negotiated or open market transactions, including under plans complying with Rule 10b5-1 under the Exchange Act.

Shares of Common Stock

The following table shows the changes in shares of common stock for 2023, 2022 and 2021 (in thousands):

	2023	2022	2021
Common stock outstanding, beginning balances	15,943,425	16,426,786	16,976,763
Common stock repurchased	(471,419)	(568,589)	(656,340)
Common stock issued, net of shares withheld for employee taxes	78,055	85,228	106,363
Common stock outstanding, ending balances	15,550,061	15,943,425	16,426,786

Note 11 – Share-Based Compensation

2022 Employee Stock Plan

The Apple Inc. 2022 Employee Stock Plan (the “2022 Plan”) is a shareholder-approved plan that provides for broad-based equity grants to employees, including executive officers, and permits the granting of RSUs, stock grants, performance-based awards, stock options and stock appreciation rights. RSUs granted under the 2022 Plan generally vest over four years, based on continued employment, and are settled upon vesting in shares of the Company’s common stock on a one-for-one basis. All RSUs granted under the 2022 Plan have dividend equivalent rights, which entitle holders of RSUs to the same dividend value per share as holders of common stock. A maximum of approximately 1.3 billion shares were authorized for issuance pursuant to 2022 Plan awards at the time the plan was approved on March 4, 2022.

2014 Employee Stock Plan

The Apple Inc. 2014 Employee Stock Plan (the “2014 Plan”) is a shareholder-approved plan that provided for broad-based equity grants to employees, including executive officers. The 2014 Plan permitted the granting of substantially the same types of equity awards with substantially the same terms as the 2022 Plan. The 2014 Plan also permitted the granting of cash bonus awards. In the third quarter of 2022, the Company terminated the authority to grant new awards under the 2014 Plan.

Restricted Stock Units

A summary of the Company’s RSU activity and related information for 2023, 2022 and 2021, is as follows:

	Number of RSUs (in thousands)	Weighted-Average Grant Date Fair Value Per RSU	Aggregate Fair Value (in millions)
Balance as of September 26, 2020	310,778	$ 51.58	
RSUs granted	89,363	$ 116.33	
RSUs vested	(145,766)	$ 50.71	
RSUs canceled	(13,948)	$ 68.95	
Balance as of September 25, 2021	240,427	$ 75.16	
RSUs granted	91,674	$ 150.70	
RSUs vested	(115,861)	$ 72.12	
RSUs canceled	(14,739)	$ 99.77	
Balance as of September 24, 2022	201,501	$ 109.48	
RSUs granted	88,768	$ 150.87	
RSUs vested	(101,878)	$ 97.31	
RSUs canceled	(8,144)	$ 127.98	
Balance as of September 30, 2023	180,247	$ 135.91	$ 30,860

The fair value as of the respective vesting dates of RSUs was $15.9 billion, $18.2 billion and $19.0 billion for 2023, 2022 and 2021, respectively. The majority of RSUs that vested in 2023, 2022 and 2021 were net share settled such that the Company withheld shares with a value equivalent to the employees' obligation for the applicable income and other employment taxes, and remitted the cash to the appropriate taxing authorities. The total shares withheld were approximately 37 million, 41 million and 53 million for 2023, 2022 and 2021, respectively, and were based on the value of the RSUs on their respective vesting dates as determined by the Company's closing stock price. Total payments to taxing authorities for employees' tax obligations were $5.6 billion, $6.4 billion and $6.8 billion in 2023, 2022 and 2021, respectively.

Share-Based Compensation

The following table shows share-based compensation expense and the related income tax benefit included in the Consolidated Statements of Operations for 2023, 2022 and 2021 (in millions):

	2023	2022	2021
Share-based compensation expense	$ 10,833	$ 9,038	$ 7,906
Income tax benefit related to share-based compensation expense	$ (3,421)	$ (4,002)	$ (4,056)

As of September 30, 2023, the total unrecognized compensation cost related to outstanding RSUs was $18.6 billion, which the Company expects to recognize over a weighted-average period of 2.5 years.

Note 12 – Commitments, Contingencies and Supply Concentrations

Unconditional Purchase Obligations

The Company has entered into certain off–balance sheet commitments that require the future purchase of goods or services ("unconditional purchase obligations"). The Company's unconditional purchase obligations primarily consist of supplier arrangements, licensed intellectual property and content, and distribution rights. Future payments under noncancelable unconditional purchase obligations with a remaining term in excess of one year as of September 30, 2023, are as follows (in millions):

2024	$ 4,258
2025	2,674
2026	3,434
2027	1,277
2028	5,878
Thereafter	3,215
Total	$ 20,736

Contingencies

The Company is subject to various legal proceedings and claims that have arisen in the ordinary course of business and that have not been fully resolved. The outcome of litigation is inherently uncertain. In the opinion of management, there was not at least a reasonable possibility the Company may have incurred a material loss, or a material loss greater than a recorded accrual, concerning loss contingencies for asserted legal and other claims.

Concentrations in the Available Sources of Supply of Materials and Product

Although most components essential to the Company's business are generally available from multiple sources, certain components are currently obtained from single or limited sources. The Company also competes for various components with other participants in the markets for smartphones, personal computers, tablets, wearables and accessories. Therefore, many components used by the Company, including those that are available from multiple sources, are at times subject to industry-wide shortage and significant commodity pricing fluctuations.

The Company uses some custom components that are not commonly used by its competitors, and new products introduced by the Company often utilize custom components available from only one source. When a component or product uses new technologies, initial capacity constraints may exist until the suppliers' yields have matured or their manufacturing capacities have increased. The continued availability of these components at acceptable prices, or at all, may be affected if suppliers decide to concentrate on the production of common components instead of components customized to meet the Company's requirements.

Substantially all of the Company’s hardware products are manufactured by outsourcing partners that are located primarily in China mainland, India, Japan, South Korea, Taiwan and Vietnam.

Note 13 – Segment Information and Geographic Data

The Company manages its business primarily on a geographic basis. The Company's reportable segments consist of the Americas, Europe, Greater China, Japan and Rest of Asia Pacific. Americas includes both North and South America. Europe includes European countries, as well as India, the Middle East and Africa. Greater China includes China mainland, Hong Kong and Taiwan. Rest of Asia Pacific includes Australia and those Asian countries not included in the Company's other reportable segments. Although the reportable segments provide similar hardware and software products and similar services, each one is managed separately to better align with the location of the Company's customers and distribution partners and the unique market dynamics of each geographic region.

The Company evaluates the performance of its reportable segments based on net sales and operating income. Net sales for geographic segments are generally based on the location of customers and sales through the Company's retail stores located in those geographic locations. Operating income for each segment consists of net sales to third parties, related cost of sales, and operating expenses directly attributable to the segment. The information provided to the Company's chief operating decision maker for purposes of making decisions and assessing segment performance excludes asset information.

The following table shows information by reportable segment for 2023, 2022 and 2021 (in millions):

	2023	2022	2021
Americas:			
Net sales	$ 162,560	$ 169,658	$ 153,306
Operating income	$ 60,508	$ 62,683	$ 53,382
Europe:			
Net sales	$ 94,294	$ 95,118	$ 89,307
Operating income	$ 36,098	$ 35,233	$ 32,505
Greater China:			
Net sales	$ 72,559	$ 74,200	$ 68,366
Operating income	$ 30,328	$ 31,153	$ 28,504
Japan:			
Net sales	$ 24,257	$ 25,977	$ 28,482
Operating income	$ 11,888	$ 12,257	$ 12,798
Rest of Asia Pacific:			
Net sales	$ 29,615	$ 29,375	$ 26,356
Operating income	$ 12,066	$ 11,569	$ 9,817

A reconciliation of the Company's segment operating income to the Consolidated Statements of Operations for 2023, 2022 and 2021 is as follows (in millions):

	2023	2022	2021
Segment operating income	$ 150,888	$ 152,895	$ 137,006
Research and development expense	(29,915)	(26,251)	(21,914)
Other corporate expenses, net [1]	(6,672)	(7,207)	(6,143)
Total operating income	$ 114,301	$ 119,437	$ 108,949

(1) Includes corporate marketing expenses, certain share-based compensation expenses, various nonrecurring charges, and other separately managed general and administrative costs.

The U.S. and China were the only countries that accounted for more than 10% of the Company's net sales in 2023, 2022 and 2021. Net sales for 2023, 2022 and 2021 and long-lived assets as of September 30, 2023 and September 24, 2022 were as follows (in millions):

	2023	2022	2021
Net sales:			
U.S.	$ 138,573	$ 147,859	$ 133,803
China [1]	72,559	74,200	68,366
Other countries	172,153	172,269	163,648
Total net sales	$ 383,285	$ 394,328	$ 365,817

	2023	2022
Long-lived assets:		
U.S.	$ 33,276	$ 31,119
China [1]	5,778	7,260
Other countries	4,661	3,738
Total long-lived assets	$ 43,715	$ 42,117

(1) China includes Hong Kong and Taiwan.

Report of Independent Registered Public Accounting Firm

To the Shareholders and the Board of Directors of Apple Inc.

Opinion on the Financial Statements

We have audited the accompanying consolidated balance sheets of Apple Inc. as of September 30, 2023 and September 24, 2022, the related consolidated statements of operations, comprehensive income, shareholders' equity and cash flows for each of the three years in the period ended September 30, 2023, and the related notes (collectively referred to as the "financial statements"). In our opinion, the financial statements present fairly, in all material respects, the financial position of Apple Inc. at September 30, 2023 and September 24, 2022, and the results of its operations and its cash flows for each of the three years in the period ended September 30, 2023, in conformity with U.S. generally accepted accounting principles.

We also have audited, in accordance with the standards of the Public Company Accounting Oversight Board (United States) (the "PCAOB"), Apple Inc.'s internal control over financial reporting as of September 30, 2023, based on criteria established in *Internal Control – Integrated Framework* issued by the Committee of Sponsoring Organizations of the Treadway Commission (2013 framework) and our report dated November 2, 2023 expressed an unqualified opinion thereon.

Basis for Opinion

These financial statements are the responsibility of Apple Inc.'s management. Our responsibility is to express an opinion on Apple Inc.'s financial statements based on our audits. We are a public accounting firm registered with the PCAOB and are required to be independent with respect to Apple Inc. in accordance with the U.S. federal securities laws and the applicable rules and regulations of the U.S. Securities and Exchange Commission and the PCAOB.

We conducted our audits in accordance with the standards of the PCAOB. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement, whether due to error or fraud. Our audits included performing procedures to assess the risks of material misstatement of the financial statements, whether due to error or fraud, and performing procedures that respond to those risks. Such procedures included examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements. Our audits also included evaluating the accounting principles used and significant estimates made by management, as well as evaluating the overall presentation of the financial statements. We believe that our audits provide a reasonable basis for our opinion.

Critical Audit Matter

The critical audit matter communicated below is a matter arising from the current period audit of the financial statements that was communicated or required to be communicated to the audit committee and that: (1) relates to accounts or disclosures that are material to the financial statements and (2) involved our especially challenging, subjective, or complex judgments. The communication of the critical audit matter does not alter in any way our opinion on the financial statements, taken as a whole, and we are not, by communicating the critical audit matter below, providing a separate opinion on the critical audit matter or on the account or disclosure to which it relates.

Uncertain Tax Positions

Description of the Matter	As discussed in Note 7 to the financial statements, Apple Inc. is subject to taxation and files income tax returns in the U.S. federal jurisdiction and many state and foreign jurisdictions. As of September 30, 2023, the total amount of gross unrecognized tax benefits was $19.5 billion, of which $9.5 billion, if recognized, would impact Apple Inc.'s effective tax rate. In accounting for some of the uncertain tax positions, Apple Inc. uses significant judgment in the interpretation and application of complex domestic and international tax laws. Auditing management's evaluation of whether an uncertain tax position is more likely than not to be sustained and the measurement of the benefit of various tax positions can be complex, involves significant judgment, and is based on interpretations of tax laws and legal rulings.

How We Addressed the Matter in Our Audit	We tested controls relating to the evaluation of uncertain tax positions, including controls over management’s assessment as to whether tax positions are more likely than not to be sustained, management’s process to measure the benefit of its tax positions, and the development of the related disclosures. To evaluate Apple Inc.’s assessment of which tax positions are more likely than not to be sustained, our audit procedures included, among others, reading and evaluating management’s assumptions and analysis, and, as applicable, Apple Inc.’s communications with taxing authorities, that detailed the basis and technical merits of the uncertain tax positions. We involved our tax subject matter resources in assessing the technical merits of certain of Apple Inc.’s tax positions based on our knowledge of relevant tax laws and experience with related taxing authorities. For certain tax positions, we also received external legal counsel confirmation letters and discussed the matters with external advisors and Apple Inc. tax personnel. In addition, we evaluated Apple Inc.’s disclosure in relation to these matters included in Note 7 to the financial statements.

/s/ Ernst & Young LLP

We have served as Apple Inc.’s auditor since 2009.

San Jose, California
November 2, 2023

Report of Independent Registered Public Accounting Firm

To the Shareholders and the Board of Directors of Apple Inc.

Opinion on Internal Control Over Financial Reporting

We have audited Apple Inc.'s internal control over financial reporting as of September 30, 2023, based on criteria established in *Internal Control – Integrated Framework* issued by the Committee of Sponsoring Organizations of the Treadway Commission (2013 framework) (the "COSO criteria"). In our opinion, Apple Inc. maintained, in all material respects, effective internal control over financial reporting as of September 30, 2023, based on the COSO criteria.

We also have audited, in accordance with the standards of the Public Company Accounting Oversight Board (United States) (the "PCAOB"), the consolidated balance sheets of Apple Inc. as of September 30, 2023 and September 24, 2022, the related consolidated statements of operations, comprehensive income, shareholders' equity and cash flows for each of the three years in the period ended September 30, 2023, and the related notes and our report dated November 2, 2023 expressed an unqualified opinion thereon.

Basis for Opinion

Apple Inc.'s management is responsible for maintaining effective internal control over financial reporting, and for its assessment of the effectiveness of internal control over financial reporting included in the accompanying Management's Annual Report on Internal Control over Financial Reporting. Our responsibility is to express an opinion on Apple Inc.'s internal control over financial reporting based on our audit. We are a public accounting firm registered with the PCAOB and are required to be independent with respect to Apple Inc. in accordance with the U.S. federal securities laws and the applicable rules and regulations of the U.S. Securities and Exchange Commission and the PCAOB.

We conducted our audit in accordance with the standards of the PCAOB. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether effective internal control over financial reporting was maintained in all material respects.

Our audit included obtaining an understanding of internal control over financial reporting, assessing the risk that a material weakness exists, testing and evaluating the design and operating effectiveness of internal control based on the assessed risk, and performing such other procedures as we considered necessary in the circumstances. We believe that our audit provides a reasonable basis for our opinion.

Definition and Limitations of Internal Control Over Financial Reporting

A company's internal control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with U.S. generally accepted accounting principles. A company's internal control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with U.S. generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Because of its inherent limitations, internal control over financial reporting may not prevent or detect misstatements. Also, projections of any evaluation of effectiveness to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

/s/ Ernst & Young LLP

San Jose, California
November 2, 2023